provision. In view of the many uncertainties involved in a mining venture, it would seem sensible to follow the simpler "straight-line" method, thus setting up a certain margin of safety against future eventualities.

NOTE 53

In the 1934 edition of this work (page 434) we suggested at this point that in the case of Company *A* the analyst "would consider the reasonable value in terms of the $4 per-share average earnings multiplied by a coefficient which may be as high as 16. This would result in a value of about 65." Our present treatment marks a significant departure from the earlier view in two respects: (1) by advancing the multiplier from 16 to 20 and (2) by accepting in this case the most recent year's earnings in lieu of the average, as the measure of indicated earning power.

The advance in the multiplier follows naturally, we believe, from the persistence of much lower bond-interest rates than had been the rule prior to 1934. (The average yield on Standard Statistics A1+ bonds early in 1940 was 2.78% compared with 4.67% in 1933 and 4.78% in 1929. See Appendix Note 57, page 794, for further discussion regarding the suggested new maximum multiplier of 20.)

In permitting the use at times of the most recent year's earnings, rather than the average, we have definitely shifted our viewpoint in a more liberal direction. The reason is that on further reflection it appears to us that the current (or last) year's earnings are more relevant to the future, and therefore a more realistic measure of earning power, in cases where (1) they are not aided by unusually good general business conditions, (2) there has been a pronounced upward trend and (3) long-term prospects appear favorable.

NOTE 54

At this point (page 437) in the 1934 edition we supplied the following illustration:

"*Example:* Let us take the situation presented by Mack Trucks, Inc., in 1933 when the shares were selling at an extremely low price in relation both to their asset values and to their average earnings. At the time the annual report was released early in March 1933 the common stock was selling at $15 per share. The report exhibited *net cash assets* available for the common stock of $12 per share and *net current assets* of $40 per share. The earnings exhibit is shown in the table at the top of page 791.

"It will be observed from the above that the stock was selling in March 1933 at slightly in excess of one-third of the net current assets per share and at little more than twice the average earnings per share.

"This company was the largest unit in an important industry, so that there was every reason to expect that it would again be able to earn a reasonable profit